

Tutorial Activity: Revenue Transactions and the Accounting Equation

Learning Outcomes

- Apply revenue recognition and measurement principles.
Classify financial transactions correctly in the accounting equation ($\text{Assets} = \text{Liabilities} + \text{Equity}$).
- Understand the impact of different revenue scenarios on financial position.

Instructions

For each scenario, determine how the transaction affects the accounting equation. Indicate whether assets, liabilities, or equity increase or decrease. You only need to deal with the revenue implications.

1. A retailer sells furniture worth R4,200 and receives immediate payment in cash.
2. Furniture sold for R5,000 payable in 12 months' time. The fair value of the sale is R4,200.
3. A bookkeeper enters into a 12-month contract worth R120,000 to provide bookkeeping services. At the reporting date, the bookkeeper provided 6 months' of services. The full contract price was paid upfront. (Show the effect initially and at the reporting date)
4. A business enters into a consulting contract for an opinion on the feasibility of launching a new product line worth R300,000. At the reporting date, 5 out of an estimated 8 months of work have been completed. The customer made a progress payment of R250,000 on the reporting date.
5. An annual gym contract is sold for R15,000. The normal initiation fee is R950, and the monthly subscription is R1,500. The customer pays the full amount in cash.
6. A manufacturer receives R2,000, 12 months before delivering goods valued at R2,200. Show the effect initially and when the goods are delivered.
7. A health shop sells smoothies. If a customer purchased nine smoothies at R25 each, the 10th smoothie is free. The customer pays for one smoothie.

	A	=	E	+	L
1.	+4 200 Bank (A) ✓		+4 200 Sales income (P/L) ✓		0
2.	+5 000 Tr. receivable (A) ✓		+4 200 Sales (P/L) +800 i income (P/L)		0
3.	+120k -120 000 Bank (A) +120k services receivable (A) -60 000 serv. rec (A)		+60k rev. -60 000 W+S (P/L)		+120k deferred rev 0 -60k DR
4.	+250k Bank (A) ✓		+187 500 services rend. (P/L)		250 deferred rev. +62 500 IRA (L)
5.	+15k Bank (A) ✓		+15k serv. rend. (P/L) 950/18950 × 15k		+14 248 0 Def. rev.
6.	+2 000 Bank (A) ✓ 0		0 +2 000 Sales income (P/L) -200 i exp		Def. rev +2 000 IRA (L) 1 Def. rev -2 000 IRA (L)
7.	+25 Bank (A) ✓		+22,50 Sales income (P/L) ✓		Def. rev +2,5 IRA (L)